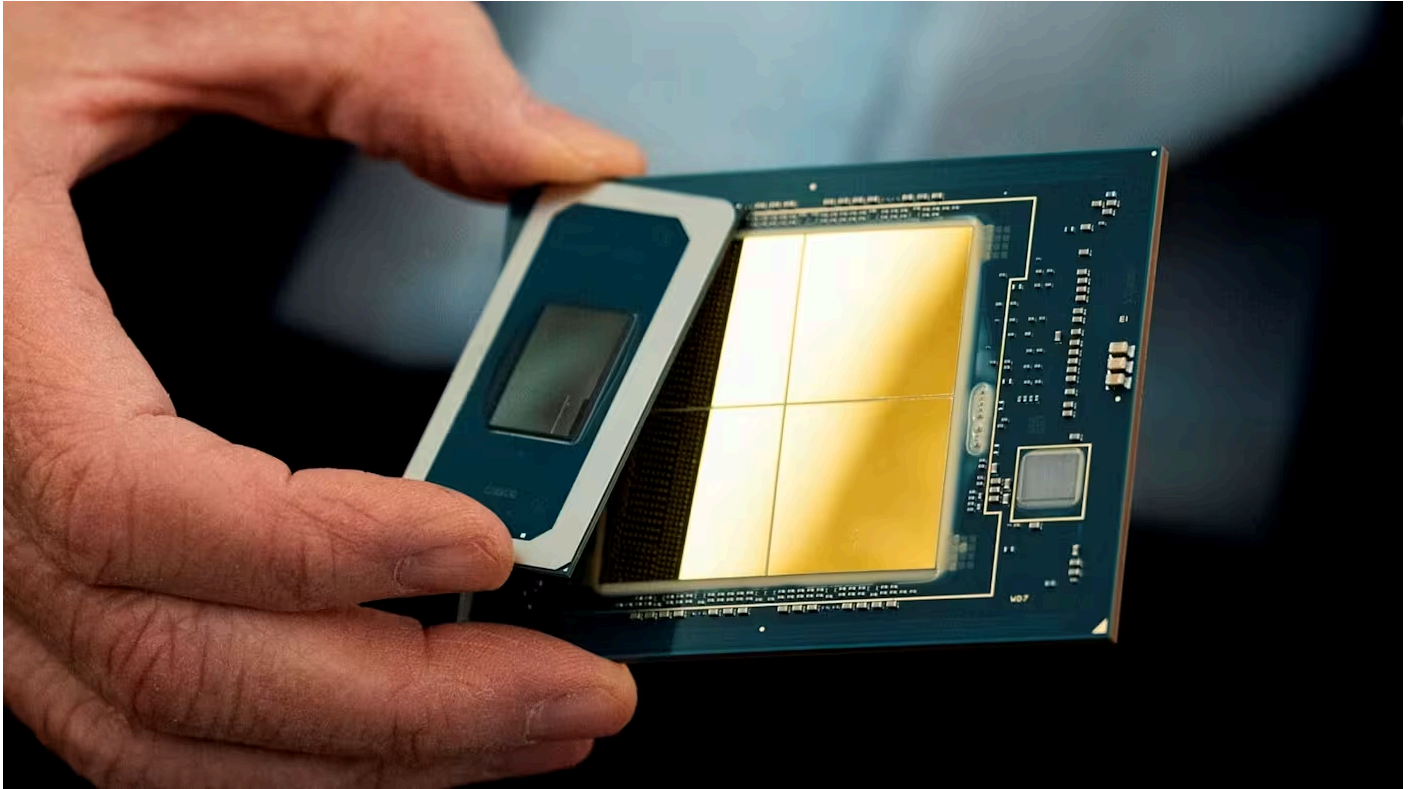


Markets Briefing **Equities**

US stocks, bonds dip ahead of inflation data

Fall in stocks led by tech after weak semiconductor earnings



Disappointing results from semiconductor makers helped drag down the Nasdaq Composite on Tuesday © Tom Williams/CQ-Roll Call/Getty Images

Ian Johnston in London and **Kate Duguid** in New York

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Wall Street stocks and Treasury bond prices fell on Tuesday ahead of the release of closely watched US consumer price index data on Wednesday, which is expected to influence the US Federal Reserve's plans for monetary policy tightening.

In government bond markets, the yield on the two-year Treasury note, which moves with interest rate expectations, rose 0.05 percentage points to 3.27 per cent. The 10-year yield, which moves with inflation and growth expectations, added 0.03 percentage points to 2.79 per cent. Yields move inversely to price.

Economists polled by Reuters expect headline inflation to have increased 0.2 per cent from June to July, with core inflation — stripping out food and energy costs — anticipated to have risen 0.5 per cent. They expect inflation to have reached 8.7 per cent on a year-on-year basis, slightly below the figure for June.

“A higher than expected inflation print will lead to another round of hawkish Fed expectations,” said Patrick Moonen, principal strategist at NN Investment Partners. “Then the balance may shift towards value stocks, like financials. On the other hand, if it is better than expected, [high-quality] growth stocks can continue to perform well.”

Recent US data showed that inflation has continued to rise in recent months, with the Fed’s preferred inflation gauge, the core personal consumption expenditures index, and the latest employment cost index report, which tracks wages and benefits, also up in recent weeks.

Fed chair Jay Powell has adopted a meeting-by-meeting approach to rate rises, rather than providing guidance in advance. Markets are pricing in the possibility of another 0.75 percentage point rise at the central bank’s next policy meeting in September.

US stocks were dragged lower on Tuesday after chipmaker Micron Technology warned of slowing consumer demand, sparking concerns over the outlook for the sector. Shares in the US group fell nearly 4 per cent after it said appetite was waning for chips used in personal computers and smartphones as customers reined in spending.

Investors’ concerns over consumer demand pulled the Nasdaq Composite down 1.2 per cent, and the benchmark US S&P 500 down 0.4 per cent.

The warning compounded bearish sentiment in the sector following disappointing results for peer Nvidia on Monday. The wider Philadelphia Semiconductor index was down 4.6 per cent.

In Germany, Adidas and Puma closed down 3.4 and 4.6 per cent respectively, while industrial giant Siemens slipped 2.6 per cent after disappointing results on Monday. The hit to consumer companies helped drag the country's Dax index down 1.1 per cent at the close, while Europe's Stoxx 600 lost 0.7 per cent.

In Asia, Hong Kong's Hang Seng index closed down 0.2 per cent, while Japan's Topix lost 0.7 per cent, dragged lower by a 7 per cent decline for SoftBank shares after the conglomerate reported a [record \\$23bn loss](#) on Monday for the first quarter.

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